Marcus & Sarah Chen — Financial Profile

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Who We Are

- **Marcus Chen**, age 33, born 1993
- **Sarah Chen**, age 31, born 1995
- Married since 2020, first marriage for both
- Two children: Lily (age 4, born 2022), Owen (age 1, born 2025)
- Canadian citizens, both born in Canada
- Living in a townhouse in Barrie, Ontario (purchased 2021)
- No health conditions affecting financial planning
- No aging parents requiring financial support currently (both sets of parents are healthy, early 60s)

Employment & Income

Marcus

- **Employer:** Barrie Regional Hospital — IT systems analyst
- **Type:** Permanent full-time, public sector, OPSEU union
- **Gross salary:** $92,000/year
- **Net take-home:** $5,420/month (biweekly pay)
- **Income stability:** Very stable
- **Employer benefits:** Yes — extended health/dental (family), life insurance (2x salary = $184,000), STD (100% for 15 weeks), LTD (66% of income after 15 weeks), AD&D
- **Workplace pension:** HOOPP (Healthcare of Ontario Pension Plan) — defined benefit
  - Contribution: 6.9% of earnings ($6,348/year)
  - Employer matches: 26% of earnings (employer-side, builds the DB pension)
  - Estimated pension at 65 (32 years of service): ~$36,800/year
- **RRSP:** Not contributing separately (pension plan is strong)
- **Union dues:** $87/month

Sarah

- **Employer:** Local dental clinic — office manager
- **Type:** Permanent full-time, private sector
- **Gross salary:** $65,000/year
- **Net take-home:** $4,010/month (biweekly pay)
- **Income stability:** Stable (clinic has been open 12 years)
- **Employer benefits:** Basic — health/dental (individual only, not family), life insurance (1x salary = $65,000)

- **Workplace pension:** None
- **RRSP employer match:** None

Other Income

- Canada Child Benefit (CCB): $1,040/month ($520/child — based on ~$157K family income)
- GST/HST Credit: $0 (income too high to qualify)
- Ontario Trillium Benefit: $0 (income too high)
- Quarterly benefit income: $976/year ($244/quarter for family of 4)
- No rental income, investment income, or side hustles

Household Income Summary

Source	Monthly	Annual
Marcus gross	$7,667	$92,000
Sarah gross	$5,417	$65,000
CCB	$1,040	$12,480
Quarterly benefit	$81	$976
Total gross	**$14,205**	**$170,456**
Total net (take-home + benefits)	**$10,551**	**$126,612**

Tax Situation (Ontario)

- **Marcus marginal tax rate:** ~33.9% (federal 20.5% + Ontario 9.15% at $92K income)
- **Sarah marginal tax rate:** ~29.65% (federal 20.5% + Ontario 9.15% at $65K income)
- **Marcus average tax rate:** ~23% (lower in 2026 due to 14% first bracket)
- **Sarah average tax rate:** ~18%
- **Filing:** Both file individual returns, married status
- **Quarterly installments:** Not required (both have tax withheld at source)
- **Tax prep:** Use TurboTax, $50/year — recommend switching to Wealthsimple Tax (free, NETFILE-certified)
- **Ontario-specific:** No provincial health premiums. Ontario Trillium Benefit and Ontario Child Benefit both income-tested — Chens' combined income too high to qualify.

Tax Filing Optimization Notes

- Medical expenses: claim on Sarah's return (lower income = lower 3% threshold)
- Charitable donations: combine and claim on Marcus's return (higher marginal rate)
- Childcare: must claim on Sarah's return (lower-income spouse)
- RRSP strategy: Sarah should contribute to her own RRSP (reduces her taxable income, potentially increases CCB)
- Student loan interest (Sarah): federal student loans have been interest-free since April 2023 — no interest is paid, so there's no student-loan-interest credit to claim

What We Owe

Debt	Balance	Rate	Min Payment	Type	Joint?
Mortgage	$412,000	4.89% fixed	$2,340/month	25-yr amortization, 5-yr term (renews June 2026)	Joint
Car loan (2023 Honda CR-V)	$18,400	6.49%	$420/month	60-month term	Marcus
Visa (TD)	$4,200	20.99%	$126/month (min)	Revolving	Sarah
Student loan (Sarah, federal)	$8,900	0% (federal — interest-free since Apr 2023)	$180/month	Federal student loan	Sarah
Total	**$443,500**		**$3,066/month**		

- No payday loans, no BNPL, no CRA debt, no collections
- Consumer proposal / bankruptcy: None
- Mortgage details: Purchased at $515,000 in 2021, put 10% down ($51,500), CMHC insured. Current estimated value: $535,000.

What We Have

Cash & Savings

Account	Balance	Rate	Notes
TD chequing (joint)	$3,200	0%	Main operating account
EQ Bank savings	$6,800	2.75%	Emergency fund (not formally designated)
Sarah's TD savings	$1,400	0.05%	Misc savings
Total liquid	**$11,400**		

Registered Accounts

Account	Owner	Balance	Invested In	Notes
RRSP	Marcus	$0	N/A	HOOPP pension instead — has

Account	Owner	Balance	Invested In	Notes
				$22,400 in RRSP room
RRSP	Sarah	$14,200	TD Balanced Growth Fund (MER 2.31%)	Has $38,600 in RRSP room
TFSA	Marcus	$8,500	EQ Bank GIC (3.8%, matures Dec 2026)	Has $48,500 in room remaining
TFSA	Sarah	$3,200	Cash in TD savings (0.05%)	Has $53,800 in room remaining
RESP (Lily)	Joint	$7,500	TD e-Series Balanced Index (MER 0.33%)	Contributing $208/month ($2,500/year) — capturing full CESG
RESP (Owen)	Joint	$1,200	TD e-Series Balanced Index (MER 0.33%)	Contributing $104/month ($1,250/year) — NOT capturing full CESG
FHSA	N/A	N/A	Not eligible (not first-time buyers)	
RDSP	N/A	N/A	No DTC eligibility	

Free Money Check

Source	Capturing?	Gap
Marcus employer match	N/A (DB pension)	None — HOOPP is excellent
Sarah employer match	N/A (no match offered)	No employer match available
CESG — Lily	✅ Yes ($500/year)	On track
CESG — Owen	⚠️ Partial ($250/year)	Missing $250/year in grant — need to increase to $2,500/year

Real Estate

- **Primary residence:** Townhouse, Barrie ON
  - Estimated current value: $535,000

    - Mortgage balance: $412,000
    - **Equity: $123,000**
- No rental property, no cottage, no land

Other Assets

- 2023 Honda CR-V: ~$28,000 (estimated)
- 2019 Toyota Corolla (Sarah, owned outright): ~$12,000
- No business equity, no significant personal property, no crypto
- No expected inheritance in near term

Net Worth Summary

Category	Value
Liquid cash	$11,400
Registered accounts (RRSP + TFSA + RESP)	$34,600
Home equity	$123,000
Vehicles	$40,000
Total assets	**$209,000**
Mortgage	-$412,000
Car loan	-$18,400
Credit card	-$4,200
Student loan	-$8,900
Total liabilities	**-$443,500**
Net worth	**-$234,500**
Net worth (excl. primary residence & mortgage)	**-$234,500 + $123,000 = -$111,500**

Note: Negative net worth is normal for a young family with a mortgage. The trajectory matters more than the snapshot.

Insurance & Protection

Through Marcus's Employer

- Extended health & dental: Family coverage, 80% paramedical ($500/practitioner/year), $2,000/year dental per person, 100% preventive
- Life insurance: 2x salary = $184,000
- STD: 100% salary for 15 weeks
- LTD: 66% of salary after 15-week elimination period
- AD&D: 1x salary = $92,000
- No critical illness through employer

- HSA/WSA: $500 Health Spending Account (resets April 1)

Through Sarah's Employer

- Health & dental: Individual only (not family), 80% coverage, $1,500 dental/year
- Life insurance: 1x salary = $65,000
- No STD/LTD through employer
- No HSA/WSA

Personal Policies

- None — no personal life, disability, or critical illness insurance

Insurance Assessment (DIME Method)

Marcus Life Insurance Need: | Component | Amount | |—— ——|—— —| | **D** — Debt (car + CC + student loan) | $31,500 | | **I** — Income replacement (80% of $5,420/month × 15 years, minus CPP survivor ~$500/month × 15yr) | $689,000 | | **M** — Mortgage payoff | $412,000 | | **E** — Education (2 kids × $100K, minus $8,700 RESP) | $191,300 | | Final expenses | $12,000 | | **Total need** | **$1,336,000** | | Existing coverage (employer 2x salary) | -$184,000 | | **Gap to fill** | **$1,152,000** |

Estimated cost to fill: ~$1.15M 20-year term, age 33, non-smoker = **~$55-70/month**

Sarah Life Insurance Need: | Component | Amount | |—— ——|—— —| | **D** — Debt (CC + student loan) | $13,100 | | **I** — Income replacement (80% of $4,010/month × 15 years, minus CPP survivor) | $485,000 | | **M** — Mortgage (already counted in Marcus, but Sarah needs coverage too) | $412,000 | | **E** — Education (shared with Marcus calculation) | $0 | | Childcare if Sarah dies (Marcus needs help: $1,500/month × 10 years) | $180,000 | | Final expenses | $12,000 | | **Total need** | **$1,102,000** | | Existing coverage (employer 1x salary) | -$65,000 | | **Gap to fill** | **$1,037,000** |

Estimated cost to fill: ~$1M 20-year term, age 31, non-smoker = **~$40-55/month**

Disability Assessment: - Marcus: Covered at 66% through employer LTD (own-occupation for 2 years, then any-occupation). Adequate but not ideal — consider supplemental own-occupation individual DI. - 🔴 **Sarah: ZERO disability coverage.** If she can't work, $65K/year ($4,010/month net) disappears. Employer provides no STD or LTD. Estimated cost for individual own-occupation DI (to age 65, 90-day elimination): **~$80-120/month**

Critical Illness Assessment: - ⚠️ Neither has critical illness insurance. A cancer diagnosis (the most common CI claim) would mean treatment costs, time off work, and potentially reduced income. Estimated cost: ~$40-60/month each for $100K coverage at their ages.

Estate Planning: - 🔴 **No will. No Powers of Attorney (Property or Personal Care).** Two young children with no legal guardianship designation. This is the single most urgent item — if both parents die in an accident, the courts decide who raises Lily and Owen. Estimated cost: $800-$1,500 for both wills + POAs with a lawyer.

Employer Benefits Optimization: - Marcus's $500 HSA resets April 1 — currently unused. Submit eligible expenses immediately. - Sarah's massage therapy ($160/month) should be submitted through Marcus's plan first (80% paramedical up to $500/year), then remainder through Sarah's plan. Saves ~$720/year. - Both employers offer EAP (free counselling, financial advice, legal consultation) — not being used.

Goals & Priorities

What keeps them up at night

- "That credit card balance just won't go away"
- "Are we saving enough for the kids' education?"
- "Can we actually retire at a reasonable age?"
- "Our mortgage renewal is coming up and rates are still high"

Short-term (0-2 years)

1. Kill the credit card debt ($4,200)
2. Build a proper emergency fund (target: 3 months expenses = ~$16,500)
3. Increase Owen's RESP to capture full CESG
4. Figure out Sarah's RRSP situation (is TD mutual fund the right choice?)

Medium-term (2-7 years)

1. Pay off the car loan
2. Pay off Sarah's student loan
3. Start maximizing TFSA contributions
4. Renovate the kitchen (~$25,000)

Long-term (7+ years)

1. Retire comfortably — ideally by 60 (Marcus) / 58 (Sarah)
2. Help kids with university or first home
3. Maybe upgrade to a detached house in 5-7 years
4. Travel — one family vacation per year ($3,000-$5,000 budget)

Lifestyle

- **Joy spending:** Family dinners out (Friday pizza night tradition), kids' activities (Lily does swimming, Owen will start something soon), annual camping trip
- **Habit spending they'd cut:** Marcus's daily Tim Hortons ($5/day), multiple streaming services they barely watch, Amazon impulse buys
- **Debt stress level:** 7/10 (the credit card bothers them a lot)
- **Risk tolerance:** Moderate — "We don't want to gamble but we know we can't just leave it in savings"
- **Budget preference:** Flexible — "We'll never stick to something super strict"

CRA Data (from My Account)

- **Marcus RRSP room:** $22,400
- **Sarah RRSP room:** $38,600
- **Marcus TFSA room:** $48,500
- **Sarah TFSA room:** $53,800
- **HBP balance:** $0 (didn't use HBP for home purchase)
- **LLP balance:** $0
- **Amounts owing to CRA:** $0
- **Last NOA:** 2025 tax year, filed March 2026